

TENTATIVE RULINGS

DEPT C34

JUDGE H. SHAINA COLOVER

LAW AND MOTION IS HEARD ON THURSDAY AT 1:30 P.M.

Tentative Rulings: The Court endeavors to post tentative rulings on the Court's website by 10:00 a.m. in the morning, prior to the afternoon hearing. However, ongoing proceedings may prevent posting by that time. Do not call the Department for tentative rulings if none are posted. Tentative rulings may not be posted on every case. The Court will not entertain a request to continue the hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on Tentative Rulings: If all parties involved in the subject matter intend to submit on the tentative ruling and do not desire oral argument, then *counsel for each such party shall call* and advise the Courtroom Clerk or Courtroom Attendant by calling **(657) 622-5234** before 12:00 pm on the day of the hearing. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party (or whomever the Court assigns in the ruling) shall give notice of the ruling and prepare an order for the Court's signature, if appropriate, under Cal. R. Ct. 3.1312.

Non-Appearances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

Appearances: Remote and In-Person Proceedings. Department C34 (NOT N6- Please no reserving/filing of motions in N6) conducts non-evidentiary proceedings, such as law and motion, remotely, by Zoom videoconference pursuant to CCP §367.75 and Orange County Local Rule (OCLR) 375. All counsel and self-represented parties appearing remotely for the Law and Motion Calendar must check-in online through the Court's website at <https://www.occourts.org/media-relations/civil.html>, prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Check-in instructions and instructional video are available at <https://www.occourts.org/media-relations/aci.html>. Parties preferring to appear in-person for law and motion hearings may do so pursuant to CCP §367.75 and OCLR 375.

Court Reporters: Official court reporters (i.e., court reporters employed by the Court) are NOT typically provided for law and motion matters in this Department. If a party desires a record of a law and motion proceeding, it must provide a court reporter. The Court's policy on privately retained court reporters is available on the Court's website at: [Privately-Retained Court Reporter Policy](#).

Public Access: The courtroom remains open for all evidentiary and non-evidentiary proceedings. **No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and OCLR 180.**

TENTATIVE RULINGS

Date: June 18, 2026

#	Case Name	Tentative
1.	30-2025-01481463 Meredith vs. Tissera	1. Case Management Conference 2. Demurrer to Complaint The hearing on Defendant Franz Tissera’s (“Defendant”) demurrer to the Complaint is CONTINUED to July 30, 2026 at 1:30 p.m. in Department C34. In this Court’s May 12, 2026 ruling on Defendant’s motion to quash service of summons, this Court stated: As an initial matter, the Court notes that Defendant served the moving papers on plaintiff’s counsel but failed to serve Treasures MotorSports, LLC, who appeared in this action on September 24, 2025. For all future filings, Defendant is instructed to comply with his obligation to serve all parties who have appeared in this action with any filings with the Court. Defendant, once again, did not serve Treasures MotorSports, LLC with the moving or reply papers. Additionally, Defendant did not submit a meet and confer declaration as required by Code of Civil Procedure §430.41. That provision states, in relevant part: (a) Before filing a demurrer pursuant to this chapter, the demurring party <i>shall</i> meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer. . . (CCP §430.41 (emphasis added).) Subsection (a)(3) further states that “the demurring party <i>shall</i> file and serve with the demurrer a declaration [concerning the meet and confer].” (CCP §430.41(a)(3) (emphasis added).) “Pro per litigants are not entitled to special exemptions from the California Rules of Court or Code of Civil Procedure.” (<i>Gamet v. Blanchard</i> (2001) 91 Cal.App.4th 1276, 1284.) Accordingly, Defendant is ordered to serve the moving and reply papers on Treasures MotorSports, LLC no later than 16 court days prior to the continued hearing date. In addition, Defendant is ordered to meet and confer with Plaintiff’s counsel. Defendant shall file a meet and confer declaration that complies with Code of Civil Procedure §430.41 no later than 9 court days prior to the continued hearing date. Clerk to give notice.

2. 30-2023-01351700 Do vs. International City Mortgage	1. Case Management Conference 2. Demurrer to Amended Complaint Defendant GenWay Home Mortgage dba Doorway Home Loan, fka International City Mortgage (“GenWay”) demurs to the Second Amended Complaint (SAC) of plaintiffs HienThu T. Do, MaiThao Thi Do, and Thong H. Do. GenWay’s unopposed <u>request for judicial notice</u> is GRANTED. (Evid. Code, § 452(d), (h).) This action arises out of a home loan previously serviced by GenWay. Plaintiffs allege that a \$30,000.00 overpayment was made in September 2013 by HienThu T. Do to GenWay but the overpayment was never applied to the principal of the loan and the maturity date remained the same. Plaintiffs further allege that GenWay failed to produce or transfer records of the payment made prior to April 2014, violating their statutory right to know their personal information, in a deliberate attempt to conceal the overpayment. They further allege that GenWay’s documents reflect false escrow overcharges where the monthly payment was increased under false pretenses and multiple “Escrow Refunds” and “Disbursement to Mortgagor” recordings that Plaintiffs never actually received. Plaintiffs seek restitution of the \$30,000.00 overpayment and subsequent fraudulent overcharges and punitive damages as a result of GenWay’s willful misrepresentations. <u>Failure to Join an Indispensable Party</u> GenWay argues the SAC fails because Plaintiffs still have not joined the current owner and/or servicer of the loan and that entity is an indispensable party. GenWay contends that complete relief cannot be accorded among the parties in the absence of the current owner and/or servicer. Plaintiffs are seeking restitution of the \$30,000.00 from GenWay. If their claim is successful, there will be no impact on the loan that is currently owned and/or being serviced by another entity. Thus, complete relief between Plaintiffs and GenWay can be accorded without joining the current owner and/or servicer. The <u>Demurrer based on failure to join an indispensable party</u> is OVERRULED. <u>Standing of HienThu T. Do</u> GenWay next argues that HienThu T. Do lacks standing because the Deed of Trust shows that only MaiThao Thi Do and Thong H. Do were borrowers on the loan. GenWay argues that HienThu T. Do is not a real party in interest. “A person who invokes the judicial process lacks standing if he, or those whom he properly represents, ‘does not have a real interest in the ultimate adjudication because [he] has neither suffered nor is about to suffer any injury of sufficient magnitude reasonably to assure that all of the relevant facts and issues will be adequately presented.’ [Citation.]” (<i>Schmier v. Supreme Court</i> (2000) 78 Cal.App.4th 703, 707.) Here, Plaintiffs allege that HienThu T. Do personally made the overpayment. Because Plaintiffs allege that it was HienThu T. Do’s funds that have been unjustly retained, they have adequately alleged damage specific to HienThu T. Do. Thus, HienThu T. Do has standing. The <u>Demurrer based on lack of HienThu T. Do’s standing</u> is OVERRULED. <u>First Cause of Action for Unjust Enrichment</u> Next, GenWay argues that the unjust enrichment cause of action fails because unjust enrichment is not a cause of action and Plaintiffs cannot allege that GenWay unjustly retained any benefit to
---	--

Plaintiffs' detriment, as Plaintiffs concede that they were required to make payments under the loan.

There is a split of authority, as to whether "unjust enrichment" is an independent cause of action. (*Levine v. Blue Shield of California* (2010) 189 Cal.App.4th 1117, 1138 ["Although some California courts have suggested the existence of a separate cause of action for unjust enrichment [citation], this court has recently held that '[t]here is no cause of action in California for unjust enrichment.'"]) The Court will follow *Peterson v. Celco Partnership* (2008) 164 Cal.App.4th 1583, which treats unjust enrichment as a separate claim. Pursuant to *Peterson*, "[t]he elements of an unjust enrichment claim are the 'receipt of a benefit and [the] unjust retention of the benefit at the expense of another.'" (*Peterson v. Celco Partnership* (2008) 164 Cal.App.4th 1583, 1593.)

Plaintiffs have adequately alleged that GenWay has unjustly retained their overpayment to their detriment. While Plaintiffs were required to make payments under the loan, their allegations do not concern those required payments. Instead, they relate to a one-time overpayment that was allegedly never applied. These allegations, which must be accepted as true at the demurrer stage, are sufficient to demonstrate unjust retention. Moreover, Plaintiffs' claims also relate to allegedly false escrow overcharges and refunds/disbursements that are reflected in GenWay's records but never actually received by Plaintiffs. These allegations also support Plaintiffs' claim of unjust retention. Therefore, the Demurrer to the unjust enrichment cause of action is **OVERRULED**.

Second Cause of Action for Fraudulent Misrepresentation

GenWay argues this cause of action fails because it is barred by the applicable three-year statute of limitations and also does not plead facts with sufficient specificity.

Code of Civil Procedure section 338(d) provides that an action for fraud must be brought within three years. It further states: "The cause of action in that case is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake." "This section effectively codifies the delayed discovery rule in connection with actions for fraud[.]" (*Britton v. Girardi* (2015) 235 Cal.App.4th 721, 733-734.) The delayed discovery rule tolls the accrual of a cause of action until the plaintiff discovers or has reason to discover the cause of action. (*Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 806-807.)

Here, Plaintiffs allege that GenWay destroyed records and entered false accounting entries. They further allege that GenWay failed to produce or transfer records of their overpayment. There are no allegations in the SAC as to when Plaintiffs actually obtained any records which gave them notice that the overpayment was not applied or that there were false escrow overcharges and refunds/disbursements that they never received. Because the SAC alleges sufficient facts to invoke the delayed discovery rule and the SAC on its face does not show that the cause of action is time-barred, the Demurrer based on statute of limitations grounds fails. (*E-Fab, Inc. v. Accountants, Inc. Services* (2007) 153 Cal.App.4th 1308, 1315-1316 [" 'In order for the bar of the statute of limitations to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows merely that the action may be barred.' "].)

As to the sufficiency of the allegations, Plaintiffs are alleging that GenWay either did not provide records or falsified records to include overcharges that should not have been applied or refunds/disbursements that were not actually paid out. Under such allegations of concealment, the heightened pleading standard is harder to apply. (*Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384.) "One of the purposes of the specificity requirement is 'notice to the defendant, to furnish the defendant with certain definite

		charges which can be intelligently met.” (<i>Ibid.</i>) “Less specificity should be required of fraud claims ‘when “it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy,” [citation]; “[e]ven under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party” ’ ” (<i>Ibid.</i>) Here, GenWay must necessarily possess the full facts regarding GenWay’s own records regarding the loan, as well as the calculations of overcharges and refunds/disbursements. Therefore, less specificity is required of Plaintiffs’ pleading. Plaintiffs allege the time of the alleged concealment (documents starting in April 2014), the nature of the concealment, and the damages being claimed as a result of that concealment. Thus, the Court finds that the allegations are sufficient and the <u>Demurrer as to the fraud cause of action</u> is OVERRULED. GenWay is ordered to file an answer to the SAC within 20 days. Moving party to give notice.
4.	30-2025-01455873 Silva vs. Ford Motor Company	1. Case Management Conference 2. Motion to Be Relieved as Counsel of Record The unopposed motion of Strategic Legal Practices, APC to be relieved as counsel for Plaintiff Enrique Silva is DENIED WITHOUT PREJUDICE. On 05/07/2026, the Court continued the hearing on this motion to 06/18/2026 because Moving Counsel did not show that the moving papers were timely served on the client and all other parties who have appeared in the case at least 16 court days before the hearing pursuant to code. (ROA 104.) The Court continued the hearing and <i>ordered Moving Counsel to file “proof of service of the moving papers no later than 16 court days before the continued hearing.”</i> (<i>Ibid.</i>) Based on the Court’s order and code, the proof of service needed to be filed by 05/27/2026. Moving Counsel again did not file a timely proof of service and did not establish timely service of the moving papers on the client and appearing parties. (<i>See</i> Code Civ. Proc., § 1005, subd. (b); Cal. Rules of Court, rule 3.1362, subd. (d).) The Motion is DENIED WITHOUT PREJUDICE. Moving counsel to give notice.
6.	30-2024-01448151 Conley vs. Kang	1. Motion to Be Relieved as Counsel of Record The unopposed motion of attorney Jessica Williams of Sweet James LLP to be relieved as counsel for Plaintiff DaVon James Conley is CONTINUED. Moving counsel did not show proof of service of the moving papers on the client. (<i>See</i> Code Civ. Proc., § 1005, subd. (b); Cal. Rules of Court, rule 3.1362, subd. (d).) While the declaration filed in support of the motion states that the client was served by mail, <i>there is no proof that the client was <u>timely</u> served with the papers.</i> The hearing on the Motion is CONTINUED to July 30, 2026 at 1:30 pm in C34.

Moving Attorney shall file proof of service of the moving papers no later than 16 court days before the continued hearing.

Once proper service is established, the Court is inclined to grant the motion.

Moving Attorney to give notice of the continued hearing.

7. 30-2025-01467538

Satterfield vs. Golden Rain Foundation of Laguna Woods

1. Motion to Compel Further Responses to Special Interrogatories

Plaintiff Patricia Satterfield (“Plaintiff”) moves to compel Defendant Golden Rain Foundation of Laguna Woods (“Defendant”) to serve further responses to Plaintiff’s Special Interrogatories, Set Two, Nos. 32, 36-37, 39-44, 46, 50, 52-63, 66-67, and 69-70. The motion is **GRANTED in part and DENIED in part** as set forth below.

Code of Civil Procedure section 2030.300(a) provides that a party propounding discovery may move for an order compelling a further response if an answer to a particular interrogatory is evasive or incomplete, or an exercise of the option to produce documents under Code Civ. Proc. section 2030.230 is unwarranted or the required specification of those documents is inadequate, or an objection to an interrogatory is without merit or too general.

If a timely motion to compel has been filed, the burden is on the responding party to justify the adequacy of the response, the propriety of any objections, or the failure to fully answer the interrogatories. (*Fairmont Ins. Co. v. Superior Court* (2000) 22 Cal.4th 245, 255; *Coy v. Superior Court* (1962) 58 Cal.2d 210, 220-221.) A party opposing discovery has an obligation to supply the basis for an objection asserted in response to discovery. (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549 [party objecting to interrogatories has burden of supplying supporting evidence in response to a motion to compel].)

Although good cause need not be shown, the court must consider the objections to the interrogatories, the interrogatories themselves, the pleadings, and the contentions of the interrogating party as to the purpose and validity of the interrogatories. (*Columbia Broadcasting System, Inc. v. Superior Court for Los Angeles County* (1968) 263 Cal.App.2d 12, 18-19.) “If the interrogatories stray too far and seek information which cannot reasonably serve the acknowledge purposes of pretrial discovery, the motion should be denied.” (*Id.* at p. 19.)

Interrogatory No. 32: Granted. Although the interrogatory contains subparts, they are all related to a single subject. (*See, e.g., Clement v. Alegre* (2009) 177 Cal. App. 4th 1277, 1290.) The reference to Interrogatory No. 4 does not violate the Code because the relevant text from Interrogatory No. 4 is quoted within interrogatory No. 32.

Interrogatory No. 36: Granted. Although Defendant’s objection was essentially based on relevance, Defendant’s opposing separate statement only argues that the interrogatory contains subparts, is compound and is not full and complete in and of itself. These arguments are not well

		taken, as the interrogatory concerns a single subject. Further, Defendant has not submitted evidence to support its relevance argument. <u>Interrogatory Nos. 37 and 39: Granted.</u> Plaintiff’s articulated sufficient relevance. The remainder of the objections are overruled for the reasons stated regarding No. 36. <u>Interrogatory Nos. 40 and 41: Granted.</u> The interrogatories are relevant and each concerns a single subject. <u>Interrogatory No. 42: Granted</u> for the reasons discussed above regarding No. 32. <u>Interrogatory Nos. 43-44: Granted.</u> Defendant’s objections that the interrogatory contains subparts and is not full and complete in and of itself are overruled. <u>Interrogatory No. 46: Granted in part.</u> The time period shall be limited to February 13, 2019 to the present, which is a five year lookback period from the February 13, 2024 date of the incident alleged in the Complaint. (Compl. ¶ 1.) Records prior to that are of tenuous relevance. <u>Interrogatory No. 50: Denied.</u> Defendant’s relevance objection is sustained. <u>Interrogatory No. 52: Granted.</u> Defendant’s objections that the interrogatory contains subparts and is not full and complete in and of itself are overruled. <u>Interrogatory No. 53: Granted in part.</u> The interrogatory shall be limited to incidents that occurred in common areas. Incidents that occurred in private areas are excluded. <u>Interrogatory Nos. 54 and 55: Denied.</u> These interrogatories contain multiple subparts that do not concern a single subject and are compound. <u>Interrogatory No. 56: Granted.</u> Defendant’s objections that the interrogatories contain subparts, are compound and are not full and complete in and of themselves are overruled. The subparts relate to a single subject. <u>Interrogatory Nos. 57-63, 66-67 and 69-70: Denied.</u> These interrogatories contain multiple subparts that do not concern a single subject and are compound. Both parties’ <u>requests for sanctions</u> are DENIED. <i>Defendant is to provide <u>supplemental responses</u> within <u>20 days</u> of this ruling.</i> Plaintiff to give notice.
8.	30-2025-01458151 Giles vs. Cervantes	1. Motion to Consolidate Defendants, Peter Sandoval Cervantes and Aliso Viejo Towing & Recovery Inc., move for an order consolidating the following cases: <i>Jovan Derrick Giles v. Peter Sandoval Cervantes and Aliso Viejo Towing Recovery</i>, case no. 30-2025-01458151-CU-PA-CJC and <i>Carolle Gonzales v. Aliso Viejo Towing and Peter Sandoval Cervantes; Sieglinge Hite</i>, case no. 30-2025-014899339-CU-PA-NJC.

A motion to consolidate must be served on all attorneys of record and all nonrepresented parties in all of the cases sought to be consolidated and must have a proof of service filed as part of the motion. (California Rules of Court, rule 3.350(a)(2)(B)-(C).) A notice of continuance was properly served on all attorneys of record in all of the cases sought to be consolidated. (See ROA 68.)

The motion is **unopposed**.

Defendants' motion to consolidate complies with the procedural requirements set forth in California Rules of Court, rule 3.350.

Code of Civil Procedure § 1048(a) provides: "When actions involving a common question of law or fact are pending before the court, it may order a joint hearing or trial of any or all of the matters in issue in the actions, it may order all the actions consolidated, and it may make such orders concerning proceedings therein as may tend to avoid unnecessary costs or delay." "Consolidation under Code of Civil Procedure section 1048 is permissive, and it is for the trial court to determine whether the consolidation is for all purposes or for trial only. [Citation.]" (*Hamilton v. Asbestos Corp., Ltd.* (2000) 22 Cal.4th 1127, 1147-1149.)

The granting or denial of the motion to consolidate rests in the sound discretion of the trial court, and will not be reversed except upon a clear showing of abuse of discretion. (*Todd-Stenberg v. Dalkon Shield Claimants Trust* (1996) 48 Cal.App.4th 976, 978-79.)

Here, it appears that Defendants seek a complete consolidation of two related cases: *Jovan Derrick Giles v. Peter Sandoval Cervantes and Aliso Viejo Towing Recovery*, case no. 30-2025-01458151-CU-PA-CJC and *Carolle Gonzales v. Aliso Viejo Towing and Peter Sandoval Cervantes; Sieglings Hite*, case no. 30-2025-014899339-CU-PA-NJC.

Defendants' counsel provides that these two related cases both arise out of the same October 27, 2023, incident in which Plaintiffs claim to have sustained injuries after a rear end accident on the I-5 Northbound near Alicia Parkway, such that there are common issues of law and fact. (Declaration of Nicholas Maranesi, ¶¶ 3, 7.)

This being said, the Court notes that the Complaint alleges that the subject accident occurred on or about August 16, 2023, not October 27, 2023 as asserted in the motion. (See Complaint, ¶¶ 1, 7, 17.) Thus, there is some discrepancy as to the date of the incident/accident.

Nevertheless, the motion is unopposed and Defendants' provide evidence that both cases arise out of the same incident and involve common questions of law and fact as to the liability of Defendants to each plaintiff such that a complete consolidation of the cases would enhance judicial efficiency and avoid the danger of inconsistent adjudications. Defendants' motion to consolidate is **GRANTED**.

Giles v. Cervantes, case no. 30-2025-01458151-CU-PA-CJC is the lead case. (California Rules of Court, rule 3.350(b).)

Moving Defendants to give notice.

9.	30-2025-01514516 Zhu vs. Wu	1. Case Management Conference 2. Motion for Preliminary Injunction Plaintiffs Shujun Zhu and Blue Gum Warehouse, LLC (“Plaintiffs”) move for a preliminary injunction and asks the Court for an order: (1) enjoining Defendants Ji Wu, John Chung-Ching Tu, and Peakland Warehouse 1315, Inc. from interfering with Plaintiff Shujun Zhu’s exercise of 56.7% of the voting rights in Blue Gum Warehouse, LLC, (2) suspending and enjoining Defendants’ voting and governance rights in Blue Gum Warehouse, LLC during the pendency of this action, (3) enjoining the dissipation or transfer of Blue Gum Warehouse, LLC assets, and (4) mandating preservation of all financial records of Blue Gum Warehouse, LLC, Peakland Management Anaheim, Inc., and Peakland Warehouse 1315, Inc., and requiring Defendants to maintain and not destroy, alter, conceal, or transfer any books, records, bank statements, ledgers, leases, or other financial documents relating to Blue Gum Warehouse, LLC. Defendants Ji Wu, John Chung-Ching Tu, and Blue Gum Warehouse, LLC (“Defendants”) oppose the motion. The Motion is GRANTED in part and DENIED in part, as follows: The Motion is GRANTED as to Plaintiff’s request to mandate the preservation of all financial records of Blue Gum Warehouse, LLC, Peakland Management Anaheim, Inc., and Peakland Warehouse 1315, Inc., and requiring Defendants to maintain and not destroy, alter, conceal, or transfer any books, records, bank statements, ledgers, leases, or other financial documents relating to Blue Gum Warehouse, LLC. The Motion is DENIED as to the other requests. A. Preliminary Injunction “An injunction is a writ or order requiring a person to refrain from a particular act.” (Code Civ. Proc., § 525.) “It may be granted by the court in which the action is brought, or by a judge thereof; and when granted by a judge, it may be enforced as an order of the court.” (Code Civ. Proc., § 525.) Pursuant to Code of Civil Procedure section 527: “A preliminary injunction may be granted at any time before judgment upon a verified complaint, or upon affidavits if the complaint in the one case, or the affidavits in the other, show satisfactorily that sufficient grounds exist therefor. No preliminary injunction shall be granted without notice to the opposing party.” (Code Civ. Proc., § 527(a).) “A trial court may grant a preliminary injunction upon a showing that (1) the party seeking the injunction is likely to prevail on the merits at trial, and (2) the interim harm to that party if an injunction is denied is greater than the [interim] harm the [opposing party] is likely to suffer if the ... injunction is issued.” (<i>Integrated Dynamic Solutions, Inc. v. VitaVet Labs, Inc.</i> (2016) 6 Cal.App.5th 1178, 1183 [internal quotations omitted].) “These two showings operate on a sliding scale: ‘[T]he more likely it is that [the party seeking the injunction] will ultimately prevail, the less severe must be the harm that they allege will occur if the injunction does not issue.’ [Citation.]” (<i>Integrated Dynamic Solutions, Inc. v. VitaVet Labs, Inc.</i> (2016) 6 Cal.App.5th 1178, 1183.)
----	---	--

The burden is on the moving party to show all elements necessary to support issuance of a preliminary injunction. (*O'Connell v. Superior Court* (2006) 141 Cal.App.4th 1452, 1481.)

“Although preliminary injunctions are generally designed to preserve the status quo pending a determination on the merits of the action, [citation], they are not so limited.” (*Integrated Dynamic Solutions, Inc. v. VitaVet Labs, Inc.* (2016) 6 Cal.App.5th 1178, 1183–1184 [internal quotations and citations omitted].) “A court also has the power to issue a preliminary injunction that mandates an affirmative act that changes the status quo [citation], but should do so only in those extreme cases where the right thereto is clearly established.” (*Id.*, at 1184.)

“Although the status quo for these purposes can be easily defined as the last actual peaceable, uncontested status which preceded the pending controversy [citation], determining whether a particular order alters the status quo can be more difficult.” (*Integrated Dynamic Solutions, Inc. v. VitaVet Labs, Inc.* (2016) 6 Cal.App.5th 1178, 1184 [internal quotations and citations omitted].)

Importantly, a ruling on an application for preliminary injunction is NOT an adjudication on the merits of the ultimate rights in controversy. (*Shoemaker v. County of Los Angeles* (1995) 37 Cal.App.4th 618, 625 [the “decision [on the preliminary injunction] does not constitute a final adjudication of the ultimate rights in controversy.”].) It merely represents the trial court’s discretionary decision whether defendant should be restrained from exercising a claimed right pending trial. (*Cohen v. Board of Supervisors* (9185) 40 Cal.3d 277, 286.)

B. Analysis

Here, the Court find that the sliding scale weighs in favor of denying the motion.

Based on the evidence submitted by both parties, the Court is not positioned to make any determinations on the merits of the facts of the case and therefore cannot determine the likelihood that the Plaintiffs will prevail on the merits of this case at trial. In fact, Plaintiff failed to address the causes of action alleged in the Complaint and therefore has not sufficiently address the likelihood that Plaintiff will prevail at trial.

Even so, the moving and opposing papers submit conflicting evidence wherein both parties claim to be the rightful party in control. When considering the conflicting evidence, the Court is not positioned to determine who is the credible party, who owns the majority shares, and who committed any wrongdoings.

Plaintiff cites to *Meyberg v. Superior Court of Los Angeles County* (1942) 19 Cal.2d 336, 341 for his contention that “Courts of equity have power to protect the voting rights of shareholders as an incident of property ownership” and “[i]f a court of equity has the power to enjoin the voting of stock it also has the power to restrain unlawful interference with a stockholder's right to vote stock owned by him.”

While this may be true, the Court still is not persuaded that Plaintiff has established that he truly controls 56.7% of the voting rights pursuant to the Operating Agreement of Blue Gum Warehouse LLC.

Plaintiff argues that he control 56.7% of the voting rights based on his \$1.5 million in capital contributions to the company. The Operating Agreement of Blue Gum Warehouse LLC and the

		related Articles of Incorporation, however, show that Plaintiff only has a 30% ownership interest and therefore 30% of the voting rights. In his Complaint, Plaintiff alleges that “[a]t all times relevant to the events alleged herein, Plaintiff was the owner of a 35% membership interest in Blue Gum.” (Complaint, ¶ 6.) Although, the Court notes that this is not a verified Complaint. Moreover, Plaintiff’s Verified Petition for Writ of Mandate signed on 12/18/2024 states that “Petitioner Zhu is the owner of record of 35% of the issued and outstanding membership interests in Blue Gum.” (Verified Petition, ¶ 5.) While Plaintiff argues that he has contributed 56.7% of the capital to the company, Plaintiff does not show proof of an agreement with the corporation and/or its members or managements that he contributed the additional capital in exchange for additional ownership or voting interest. The evidence before the Court shows no agreements or meeting of the minds that would establish that the additional capital was contributed in exchange for additional shares. Similarly, the Operating Agreement appears to show that such interest must only be memorialized by a Certificate of Membership Interest. Plaintiff does not present such a Certificate of Membership Interest that establishes his claimed 56.7% interest in the company. Accordingly, the Court is not positioned to determine whether either Plaintiff is likely to succeed on the merits of the claims asserted in the operative complaint Additionally, the Court is not persuaded that the interim harm to that Plaintiff if an injunction is denied is greater than the interim harm the Defendants are likely to suffer if the injunction is issued. The only harm that Plaintiff alleges will occur appears to have already occurred. On reply, Plaintiff provided evidence of what appears to be a Grant Deed that transfers the property at issue from Blue Gum Warehouse, LLC to Waterwind LLC. Both parties contend that they will lose their voting power if the Court rules against them – making the harm equal. [Optional to include: The Court is not prepared to disturb the status quo of the operation of Blue Gum Warehouse, LLC pending a determination on the merits of the action.] Given the above, the Motion is GRANTED as to Plaintiff’s request to mandate the preservation of all financial records of Blue Gum Warehouse, LLC, Peakland Management Anaheim, Inc., and Peakland Warehouse 1315, Inc., and requiring Defendants to maintain and not destroy, alter, conceal, or transfer any books, records, bank statements, ledgers, leases, or other financial documents relating to Blue Gum Warehouse, LLC. The Motion is DENIED WITHOUT PREJUDICE as to the other requests. Plaintiff’s requests for judicial notice are GRANTED. Defendants to give notice.
11.	30-2024-01377570 Zhang vs. Zhang	1. Motion to Enforce Settlement Plaintiff, Junhua Zhang, moves for an order to enforce the settlement agreement entered into between Plaintiff and Defendant, Junli Zhang, pursuant to Code of Civil Procedure section 664.6, and award of attorney’s fees in the amount of \$1,400 against Defendant. Code of Civil Procedure section 664.6(a) states: (a) If parties to pending litigation stipulate, in a writing signed by the parties outside of the presence of the court or orally before the court, for settlement of the case, or part thereof, the court, upon motion, may enter judgment pursuant to the terms of the settlement. If the

		parties to the settlement agreement or their counsel stipulate in writing or orally before the court, the court may dismiss the case as to the settling parties without prejudice and retain jurisdiction over the parties to enforce the settlement until performance in full of the terms of the settlement. “Code of Civil Procedure section 664.6 provides a summary procedure to enforce a settlement agreement by entering judgment pursuant to the terms of the settlement. [Citation.]” (<i>Hines v. Lukes</i> (2008) 167 Cal.App.4th 1174, 1182.) Plaintiff states that Defendant has failed to close escrow within 75 days of the execution of their settlement agreement as required to buy out Plaintiff’s interest in the property. Plaintiff contends that the subject property must therefore be sold under the terms of the settlement agreement. Plaintiff requests an order for (1) 18851 Quince Circle, Fountain Valley, CA 92708 to be sold, and (2) for Plaintiff to receive 81.5% of the sales proceeds and Defendant to receive the remaining 18.5% pursuant to Sections 2.3 and 5.9 of the settlement agreement. Plaintiff has not submitted any evidence to support the assertion that Defendant failed to close escrow. The only evidence submitted by Plaintiff is a declaration by counsel. This declaration is insufficient, as it does not mention any failure by Defendant to close escrow. Evidence showing the particular violation asserted here—Defendant’s failure to close escrow and complete purchase within 75 days after the execution of the settlement agreement—is required before the Court can enter the judgment requested by Plaintiff. Based on the above, the Motion is DENIED without prejudice. Plaintiff to give notice.
12.	30-2024-01431856 Vargas vs. Hernandez	1. Case Management Conference 2. Motion to Compel Answers to Form Interrogatories 3. Motion to Compel Answers to Special Interrogatories 4. Motion to Compel Production 5. Motion to Compel Production 6. Motion to Compel Production 7. Order to Show Cause re: Appointment of Referee Plaintiff Yharetzy Vargas, a minor by and through her guardian ad litem, Yuliana Vargas Pompa (“Plaintiff”) moves to compel defendant Grisell Gua Ramirez Hernandez (“Defendant”) to serve verified responses to Form Interrogatories (Set One), Special Interrogatories (Set One), and Demands for Production (Sets One, Two, and Three) and for an order imposing monetary sanctions against Defendant for her failure to serve timely responses. Verified responses to the discovery at issue have been provided. Thus, the Motions are DENIED as MOOT. However, Plaintiff’s requests for monetary sanctions against Defendant and her counsel are GRANTED in the amount of \$1,000.00, as the Court finds no substantial justification for Defendant’s delay in providing responses until after these Motions were filed. (Code Civ. Proc., §§ 2030.300(d), 2031.310(h); Cal. Rules of Court, rule 3.1348(a).) Sanctions to be paid within 30 days. Moving party to give notice.

13.	30-2025-01471437	1. Motion for Judgment on the Pleadings
	Masciel vs. Volkswagon Group of America, Inc	MP seeks judgment on the pleadings on the grounds that the fourth cause of action to Plaintiff GARRETT J MASCIEL’s Complaint does not and cannot state facts sufficient to constitute a claim against Defendants. (ROA 107, 103) Despite the clear error in Defendants’ Notice of Motion and Plaintiff’s failure to meet and confer in violation of CCP§439, the Court will proceed to rule on the merits. To that end, the Motion is DENIED. <u>1st-4th causes of action</u> Defendants argue with respect to these four causes of action that Plaintiffs’ Complaint fails to state a cause of action under the Song-Beverly Consumer Warranty Act because it does not allege that Plaintiffs purchased a consumer good, nor does it allege that Plaintiffs were a buyer of the Subject Vehicle. Defendants seemingly ignore Plaintiffs’ allegation that “Plaintiffs are "buyers" of consumer goods under the Act,” and that “Defendant VWGOA is a "manufacturer" and/or "distributor" under the Act.” (Complaint, ¶ 9.) <u>5th cause of action for Negligent repair</u> The elements of negligence are: “(1) a legal duty to use due care; (2) a breach of such legal duty; [and] (3) the breach as the proximate or legal cause of the resulting injury.” (<i>Ladd v. County of San Mateo</i> (1996) 12 Cal.4th 913, 917.) Plaintiffs allege that Defendant South Coast owed them “a duty to use ordinary care and skill in the storage, preparation and repair of the Subject Vehicle,” and “breached its duty by failing to properly store, prepare and repair the Subject Vehicle in accordance with industry standards,” proximately causing Plaintiffs’ damages. (Complaint, ¶¶ 58-60.) Defendants contend that the economic loss rule bars this cause of action. The economic loss rule provides that “tort recovery for breach of a contract duty is generally barred [] unless... the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract [and] the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed.” (<i>Rattagan v. Uber Technologies, Inc.</i> (2024) 17 Cal.5th 1, 20–21.) Plaintiffs’ negligent repair claim against Defendant South Coast is not alleged to be based on any contract. This is unlike the claims against Volkswagen which are based on the warranty issued by Volkswagen. Plaintiffs only allege that Audi “breached its duty to Plaintiffs to use ordinary care and skill by failing to properly store, prepare and repair the Subject Vehicle in accordance with industry standards.” (Complaint¶58.) Therefore, the economic loss rule does not apply here.

Defendants additionally contend that “the Complaint fails to plead any facts regarding the alleged negligence, rendering it insufficient to constitute a cause of action. Code Civ. Proc., § 430.10, subd. (e).” (Motion at pg. 10.)

Negligence claims do not need to be pled with the same level of specificity of fraud claims. Here, Plaintiffs allege that Defendant owed them a duty, breached that duty by failing to properly repair their vehicle, resulting in damages to Plaintiff. This is sufficient.

6th cause of action for Fraudulent Inducement – Concealment

The elements of fraud are “(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.)

Defendants argue that Plaintiffs fail to plead fraud with the requisite specificity. Generally, causes of action for fraud are subject to stricter pleading standards; fraud must be pled with specificity. (*Committee on Children’s Television v. General Foods Corp.* (1983) 35 Cal. 3d 197, 216-227.) Facts must be pled to “show how, when, where, to whom, and by what means the representations were tendered.” (*Hamilton v. Greenwich Investors XXVI, LLC* (2011) 195 Cal.App.4th 1602, 1614.)

In *Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384, the Court of Appeal stated as follows with respect to the heightened pleading requirements for fraud:

“[I]t is harder to apply this rule to a case of simple nondisclosure. How does one show how and by what means something didn’t happen, or when it never happened, or where it never happened? [¶] ... One of the purposes of the specificity requirement is notice to the defendant, to furnish the defendant with certain definite charges which can be intelligently met. Less specificity should be required of fraud claims when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy, [e]ven under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party....” (*Id.* at 1384-1385.)

The details concerning facts regarding Defendant’s knowledge of the defects and the identities of those at Defendant who allegedly concealed material facts are, by nature, those of which Defendant must necessarily possess full information. These facts lie more in the knowledge of Defendant; thus, the allegations are sufficiently specific given the nature of the claim.

Defendant also argues that the fraud claim fails because Plaintiff fails to allege a transactional relationship between Plaintiff and Volkswagen giving rise to a duty to disclose.

“There are four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.” (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336.)

		Under <i>LiMandri</i>, here, the Complaint adequately pleads that Defendant had knowledge of material facts that were unknown to Plaintiffs. (Complaint at ¶¶ 63,64.) The allegations sufficiently allege that Defendant actively concealed said facts. Further, while Plaintiffs do not allege they purchased the Subject Vehicle directly from Defendant Volkswagen, the do plead, “On or about October 30, 2019, Plaintiff entered into a warranty contract with Defendant VWGOA regarding a 2019 Volkswagen Atlas, vehicle identification number 1V2NR2CA8KC515145 (hereafter ‘Subject Vehicle’), which was manufactured and or distributed by Defendant.” (Complaint¶7.) The Court of Appeal has held this is sufficient at the pleading stage. (See <i>Dhital v. Nissan North America, Inc.</i> (2022) 84 Cal.App.5th 828, 844.) Defendants also argue that Plaintiffs fail to allege corporate ratification of the fraud, noting that [t]he requirement of specificity in a fraud action against a corporation requires the plaintiff to allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (<i>Tarmann v. State Farm Mut. Auto Ins. Co.</i> (1991) 2 Cal.App.4th 153, 157.) Yet, Plaintiffs claim is for fraudulent <u>concealment</u>. Thus, it is unlikely that facts regarding fraudulent representations would be pertinent here, given that Plaintiff does not plead fraudulent <u>misrepresentation</u>. Accordingly, based on applicable law and as set forth hereinabove, the Motion is DENIED. Plaintiff to provide notice.
14.	30-2026-01561390 Cathay Bank vs. Iridium Property Investments, LLC	1. Order to Show Cause re: Preliminary Injunction Plaintiff, Cathay Bank (“Plaintiff” or “the Bank”), applies for an order appointing a receiver over a commercial property generating monthly rents in excess of \$158,000, commonly known as 2201 Alton Parkway and 16940 Von Karman Avenue, Irvine, California, Assessor’s Parcel Number 435-034-12 (the “Property”). Plaintiff contends that the Property secures a fully matured loan by the Bank with an outstanding balance in excess of \$11,400,000.00 (“Loan”) to Iridium Property Investments, LLC (“Borrower” and/or “Iridium”); that the Borrower defaulted under the terms of the loan documents by failing to pay all sums due on the January 15, 2026 maturity date of the Note; that Defendant Michael J. Rogerson (“Rogerson”) and the Michael J. Rogerson Trust Dated May 7, 2011, as Amended (“Trust”) (collectively, the “Guarantors”) executed their Continuing Guaranties (“Guaranties”) pursuant to which they guaranteed repayment to the Bank of all sums owed by the Iridium to the Bank; that the Guarantors have paid no sums pursuant to the terms of their Guaranties; that under Section 1.11 of the Deed of Trust and Assignment of Rents, the Borrower has expressly consented to the appointment of a receiver; that Code of Civil Procedure section 564(b)(1), (2), (9), and (11) empower the Court to appoint a receiver in the present case because the terms of the Deed of Trust provide Plaintiff with an assignment of all the rents generated from the Property; and that the appointment of a receiver is necessary to take over the management and control of the Property, with the power to collect all rents, revenues and profits, manage, lease, protect and preserve the collateral as without one there is immediate and substantial danger that the collateral may be lost, secreted, and/or misappropriated, all to the detriment and irreparable loss to Plaintiff.

Defendants, Michael J. Rogerson and Michael J. Rogerson as Trustee of the Michael J. Rogerson Trust dated May 7, 2011 (collectively, the “Rogerson Defendants”) have filed a response. The Rogerson Defendants assert that Plaintiff has failed to demonstrate any imminent harm to the value of the Property necessary to justify the appointment of a receiver, that the Rogerson Defendants have proposed alternative means to protect Plaintiff’s interests which obviate the need for a receiver, and that the appointment of a receiver is not necessary as the Plaintiff has proceeded with pursuing a nonjudicial foreclosure.

In reply, Plaintiff contends that the Response is not forthright as although it purports to be submitted on behalf of Iridium Property Investments, LLC (“Iridium”), the Response was filed on by and on behalf of the Rogerson Defendants. Plaintiff asserts that Iridium, the borrower and owner of the Property, has filed no opposition to the instant Application and the Court’s OSC despite multiple opportunities to do so, and that the Response before the Court was filed only by Guarantors, who lack standing to oppose appointment of a receiver over Iridium’s Property, such that the Court should strike the Response. Plaintiff contends that notwithstanding the Rogerson Defendants lack of standing, the Response confirms default, lack of cash flow, and competing creditor pressure, which justify appointment of a receiver to preserve rents and profits for the benefit of Plaintiff. Plaintiff additionally asserts that refinancing, asset sales, or coordination with other creditors as alternatives to a receiver are speculative proposals, contingent on third-party approvals, and that do not provide the immediate protection of rents and profits that the Loan Documents Iridium signed and statute authorize. Thus, Plaintiff contends that the Court should adopt its tentative ruling in the June 4, 2026 Minute Order, and appoint Brian Weiss as receiver over the Property. Further, Plaintiff contends that because no rents have been paid, the Loan is admittedly fully matured and unpaid, and Iridium has not opposed the Receiver Application and the Court’s OSC, and has not provided any meaningful argument as to the Receiver’s bond, the Receiver’s bond should be no more than \$25,000.00, and that for the same reasons, the preliminary injunction bond under Code of Civil Procedure section 529 to be filed by the Bank should not be more than \$5,000.00.

As a threshold matter, Plaintiff correctly provides that, while the Response purports to be brought on behalf of Iridium and the Rogerson Defendants, counsel who filed the Response, James C. Bastian, Jr. provides that he is counsel only for the Rogerson Defendants, as indicated by the signature line. Code of Civil Procedure section 128.7(a) states, “[e]very pleading, petition, written notice of motion, or other similar paper shall be signed by at least one attorney of record in the attorney’s individual name,” As a result, the instant OSC has not been opposed by Iridium. Nevertheless, Plaintiff fails to establish that the Rogerson Defendants, who are co-defendants and appear to have an interest as Guarantors who guaranteed the debt, lack standing to oppose the OSC.

Receivers are agents of the court, not of any party, and may be appointed only when authorized by statute. (*Marsch v. Williams* (1994) 23 Cal.App.4th 238, 246; Cal. Rules of Court, rule 3.1179(a).)

“A receiver may be appointed, in the manner provided by this chapter, by the court in which an action or proceeding is pending in any case in which the court is empowered by law to appoint a receiver.” (Code Civ. Proc. § 564(a).)

Code of Civil Procedure section 564(b) provides, in relevant part: “A receiver may be appointed by the court in which an action or proceeding is pending, or by a judge of that court, in the following cases: (1) In an action by a vendor to vacate a fraudulent purchase of property, or by a creditor to subject any property or fund to the creditor's claim, or between partners or others

jointly owning or interested in any property or fund, on the application of the plaintiff, or of any party whose right to or interest in the property or fund, or the proceeds of the property or fund, is probable, and where it is shown that the property or fund is in danger of being lost, removed, or materially injured. (2) In an action by a secured lender for the foreclosure of a deed of trust or mortgage and sale of property upon which there is a lien under a deed of trust or mortgage, where it appears that the property is in danger of being lost, removed, or materially injured, or that the condition of the deed of trust or mortgage has not been performed, and that the property is probably insufficient to discharge the deed of trust or mortgage debt [¶¶.] (9) In all other cases where necessary to preserve the property or rights of any party. [¶.] (11) In an action by a secured lender for specific performance of an assignment of rents provision in a deed of trust, mortgage, or separate assignment document. The appointment may be continued after entry of a judgment for specific performance if appropriate to protect, operate, or maintain real property encumbered by a deed of trust or mortgage or to collect rents therefrom while a pending nonjudicial foreclosure under power of sale in a deed of trust or mortgage is being completed.” (Code Civ. Proc., § 564(b)(1), (2), (9), (11).)

For purposes of this section, “ ‘Borrower’ means the trustor under a deed of trust, . . . , where the deed of trust or mortgage encumbers real property security and secures the performance of the trustor or mortgagor under a loan, extension of credit, guaranty, or other obligation.” (Code Civ. Proc., § 564(e)(1).) “ ‘Secured lender’ means the beneficiary under a deed of trust against the real property security, or the mortgagee under a mortgage against the real property security, and any successor in interest of the beneficiary or mortgagee to the deed of trust or mortgage.” (Code Civ. Proc., § 564(e)(5).)

“[S]ection 564 of the Code of Civil Procedure authorizes the appointment of a receiver on the application of the plaintiff or of any party whose right or interest in the property or funds is probable and where it is shown that the property or fund is in danger of being lost, removed or materially injured, and also in all cases where receivers have heretofore been appointed by courts of equity.” (*Snidow v. Hill* (1948) 84 Cal.App.2d 702, 704.)

“[T]rial courts enjoy a large measure of discretion, albeit not an entirely uncontrolled one, in deciding when to exercise their authority to appoint a receiver.” (*Medipro Medical Staffing LLC v. Certified Nursing Registry, Inc.* (2021) 60 Cal.App.5th 622, 627, internal quotes omitted.) “Because the appointment of a receiver transfers property—or in this case, a business—out of the hands of its owners and into the hands of a receiver, the appointment of a receiver is a very drastic, harsh, and costly remedy that is to be exercised sparingly with caution.” (*Id.* at p. 628, internal quotes & citations omitted.) Thus, “[d]ue to the extraordinary nature of this remedy and the special costs it imposes, courts are strongly discouraged—although not strictly prohibited—from appointing a receiver unless the more intrusive oversight of a receiver is a necessity because other, less intrusive remedies are either inadequate or unavailable.” (*Ibid.*, internal quotes omitted.)

The moving papers must establish one of the statutory grounds for appointment of a receiver by the preponderance of the evidence. (*Miller v. Oliver* (1917) 174 Cal. 407, 410; *Moore v. Oberg* (1943) 61 Cal.App.2d 216, 220 [preponderance of the evidence standard].) “[B]ecause of the drastic character of the remedy, the discretion is not an entirely uncontrolled one but must exercised with due regard for the facts in a particular case Ordinarily, if there is any other remedy, less severe in its results, which will adequately protect the rights of the parties, a court should not take property out of the hands of its owners. [Citations.]” (*Golden State Glass Corp. v. Superior Court* (1939) 13 Cal.2d 384, 393; *Alhambra-Shumway Mines, Inc. v. Alhambra Gold Mine Corp.* (1953) 116 Cal.App.2d 869, 872.)

A court has jurisdiction to appoint a receiver under Section 564 where a creditor seeks “to specifically enforce a provision of the mortgage or deed of trust assigning the rents and profits from the security to the creditor upon default, or specifically providing for the appointment of a receiver to take possession of the security and collect the rents and profits therefrom.” (*Turner v. Superior Court* (1977) 72 Cal.App.3d 804, 811; see *Barclays Bank of California v. Superior Court* (1977) 69 Cal.App.3d 593, 599-602 [court may appoint receiver where a trust deed provides that upon default the beneficiary shall be entitled to the appointment of a receiver].) A court may appoint a receiver under Section 564 to enforce specific performance of the terms and conditions of a mortgage. (*Mines v. Superior Court* (1932) 216 Cal. 776, 779.)

Although the Bank cites to Code of Civil Procedure section 564(b)(1), (2), (9), and (11), the Bank appears to primarily rely on Section 564(b)(11).

The evidence submitted by the Bank provides the following facts: On November 19, 2019, Iridium, by and through Rogerson, as Manager of Iridium, executed a Loan Agreement for the purpose of the Bank making a loan to Iridium in the sum of \$11,895,000.00 (the “Loan”). (Declaration of David Scheiber (“Scheiber Decl.”), ¶ 4, Ex. 1.) Iridium, by and through Rogerson, made, executed and delivered to the Bank its Promissory Note dated November 19, 2019, in the principal amount of \$11,895,000 (the “Note”). (*Id.*, ¶ 5, Ex. 2.) Through a Payment Deferral Agreement Summary and Payment Deferral Agreement, each dated May 26, 2020, certain payments under the Note were deferred (the “2020 Deferral Agreement”). (*Id.*, ¶ 6, Ex. 3.) The maturity date of the Note was extended to May 18, 2025, through a Loan Extension Agreement and Modification of Note dated December 30, 2024 (the “2024 Extension Agreement”), and an Extension Agreement and Amendment to Loan Documents dated March 5, 2025 (the “March 2025 Extension Agreement”). (*Id.*, ¶ 7, Exs. 4-5.) The maturity date of the Note was extended from May 18, 2025, to January 15, 2026, through a Second Extension Agreement and Amendment to Loan Documents dated November 6, 2025 (the “November 2025 Extension Agreement”). (*Id.*, ¶ 8, Ex. 6.)

As security for the Loan, Iridium, by and through Rogerson, executed and delivered to the Bank a Deed of Trust, Assignment of Rents, Security Agreement and Fixture Filing, dated November 19, 2019, naming Borrower as “Trustor” and the Bank as “Beneficiary” or “Lender,” to the Property, recorded on November 26, 2019, in the Official Records of the County of Orange as Instrument No. 2019000494308 (the “Deed of Trust”). (*Id.*, ¶ 9, Ex. 7.)

As an additional security for the Loan, Iridium, by and through Rogerson, executed and delivered to the Bank an Absolute Assignment of Rents, Lease Guaranties, Rents, Issues and Profits, dated November 19, 2019, naming Borrower as “Assignor” and the Bank as “Assignee,” recorded on November 26, 2019 in the Official Records of the County of Orange as Instrument No. 2019000494309 (the “Assignment of Rents”). (*Id.*, ¶ 10, Ex. 8.)

The Loan Agreement, Note, 2020 Deferral Agreement, 2024 Extension Agreement, March 2025 Extension Agreement, November 2025 Extension Agreement, Deed of Trust, and Assignment of Rents are collectively referred to as the “Loan Documents”.

In connection with the Loan Documents, both Rogerson and the Michael J. Rogerson Trust Dated May 7, 2011, as Amended (“Trust”) (collectively, the “Guarantors”) each executed a Commercial Guaranty (“Guaranties”) of all “Credit” of Borrower at any time due and payable to the Bank. (Scheiber Decl., ¶¶ 12-13, Exs. 9-10.)

The Bank has performed all terms and conditions under Loan Documents it was required to perform, including without limitation advancing no less than \$11,895,000.00 to Borrower, unless excused by either the Borrower or the Guarantors' conduct. The Bank has performed all terms and conditions under the Guarantees it was required to perform, if any, unless excused by either the Borrower or the Guarantors' conduct. (Scheiber Decl., ¶ 14.)

Iridium defaulted under the terms of the loan documents by failing to pay all sums due to the Bank on the January 15, 2026 maturity date. (Scheiber Decl., ¶ 17.)

As result of the default on the Note and Guaranties, as of April 9, 2026, the Bank is owed the sum of \$11,411.964.99 consisting of the principal sum of \$10,800,524.25 plus contractual interest in the sum of \$122,405.95 and default interest of \$489,034.79 (from May 18, 2025 to April 9, 2026). (Scheiber Decl., ¶ 20.)

Section 1.11 of the Deed of Trust states, in part:

1.11 **Assignment And Collection of Rents.** (a) Trustor hereby assigns absolutely to Lender the rents of the Property, with a revocable license to collect such rents as they become due and payable, prior to any default by Trustor under section 2 of this Deed of Trust, being retained by Trustor. (b) Upon any default by Trustor under section 2 of this Deed of Trust, such license will, automatically, be deemed revoked without the necessity for any act or notice by Lender, and Lender, in person, by agent or by judicially appointed receiver, shall be entitled to enter upon, take possession of and manage the Property and may collect the rents of the Property, and, after so taking possession, shall be entitled to collect any rents that are past due

(Ex. 7 to Scheiber Decl., Deed of Trust, at p. 12, § 1.11.)

Under the Deed of Trust, Iridium, is the Trustor, and the Bank is the Beneficiary (Ex. 7 to Scheiber Decl., Deed of Trust, at p. 1.) As the Beneficiary under the Deed of Trust, the Bank is a secured lender within the meaning of Code of Civil Procedure section 564(b)(11). In addition, Plaintiff's Verified Complaint asserts a cause of action for specific performance for appointment of receiver and injunctive relief in aid of receiver (fourth cause of action).

Based on the foregoing, the Bank has demonstrated statutory grounds for appointment of a receiver by the preponderance of the evidence pursuant to Code of Civil Procedure section 564(b)(11).

The Bank submits evidence that in connection with the execution of the Loan Documents, Iridium provided to the Bank a copy of the rent roll for the Property as well as the leases for the Property; that the rent roll for the Property shows two tenants, Rogerson Aircraft with monthly rent is \$44,805.00 and Rogerson Capital with a monthly rent is \$113,935.00 for total monthly rent for the Property of \$158,740.00; that the leases are signed by Rogerson as the managing partner of Iridium and Rogerson as the CEO of Rogerson Capital and the CEO of Rogerson Aircraft Equipment Group; that Rogerson's Statement of Financial Condition which was provided in connection with the execution of the Loan Documents states that Rogerson is the owner and Chief Executive Officer of Rogerson Aircraft Equipment Group; and that Rogerson is a 100% owner of both Rogerson Aircraft Equipment Group and Rogerson Capital as well as that Rogerson is the 100% owner of Iridium. (Scheiber Decl., ¶¶ 23-24.) The Bank provides that on April 8, 2026, the Bank made Demands to Pay Rent to Secured Lender Cathay Bank pursuant to Civil Code section 2938 to Rogerson Capital and Rogerson Aircraft Equipment Group,

demanding that all rents otherwise due to the Borrower be turned over to the Bank; and that counsel for Rogerson Aircraft, James C. Bastian, advised that the tenants did not have sufficient operating capital to pay the rent and that rent is currently unpaid. (Scheiber Decl., ¶¶ 25-26; Declaration of Hal D. Goldflam, ¶¶ 6-7, Ex. 2.) A subsequent email to Rogerson and Mr. Bastian on May 6, 2026, demanding that the rents were due from the Property pursuant to the leases, that they be turned over to the Bank, and inquiring as to the status elicited no response and no rents from the Property were turned over to the Bank. (Scheiber Decl., ¶ 27, Ex. 18; Declaration of Hal D. Goldflam, ¶ 8.)

The Rogerson Defendants do not dispute that the Loan has matured without full payment and that rent payments due and owing to Iridium by Rogerson Aircraft Corporation (“RAC”) and its affiliate Rogerson Capital (“RC”) have not been timely made. (Declaration of James C. Bastian, Jr. (“Bastian Decl.”), ¶¶ 3-4.)

The Bank’s objections to the Bastian Declaration and attached exhibits are SUSTAINED as to paragraphs 5, 6, 9 as to the value of the Property and value of RAEG’s assets, 10, 13 as to the value of the property in Pasadena only, and 14, and as to Exhibits 1, 2, 3, 5, 6, and 7. All other objections are OVERRULED.

The Rogerson Defendants assert that other, less intrusive remedies are available. The Rogerson Defendants provide that they have been working with RAC and US Bank to obtain consent to deferring payments due and owing to US Bank in order to free cash to make payments to Plaintiff either as a direct payment or payment of rents owed to Iridium and pledged as additional collateral to Plaintiff, and that based on RAC’s expected collections of accounts receivable in the next 7-10 days, RAC expects to be able to fund at least one rent payment by June 20, 2026. (Bastian Decl., ¶ 8.)

The Rogerson Defendants additionally provide that they have proposed that the Property be immediately placed on the market with a broker mutually acceptable to Mr. Rogerson and Plaintiff, and that the Property will be marketed for sale within the next six months to coincide with the sale of Rogerson Aircraft Equipment Group (“RAEG”). (Bastian Decl., ¶ 11.) The Rogerson Defendants provide that they are pursuing the sale or refinance of the Property but must do so in a manner consistent with the sale of the assets of RAEG which is a division of RAC; that Mr. Rogerson has recently engaged the services of Ryan O’Toole of Lincoln International who will prepare materials to use in the marketing and sale of RAEG’s business assets, and that the Rogerson Defendants have advised Plaintiff of this and have committed to Plaintiff, US Bank and the IRS with regular reporting regarding marketing and sale activity and make Lincoln representatives available for virtual meetings and conference calls on a biweekly basis.” (Bastian Decl., ¶ 9.)

Defendants further provide that they are committed to selling other assets to generate cash to address the debts due and owing to Plaintiff, US Bank and the IRS. (Bastian Decl., ¶ 12.) Defendants’ counsel provides that Mr. Rogerson owns real property located at 403 and 401 S. Raymond Avenue in Pasadena, CA through a special purpose entity, 403 S. Raymond Avenue LLC (“Raymond Property”); that Iridium has engaged CBRE to market and sell the Raymond Property; that the list price is being set in the \$30MM-\$35MM range; and that meetings are to be held with CBRE in the next 7-10 days to confirm the active listing and list price and then to develop the marketing and sales plan. (Bastian Decl., ¶ 13.) Defendants’ counsel states that this information and plan will be shared with Plaintiff, US Bank and the IRS, with regular reports provided on a bi-weekly basis regarding the sales and marketing activity, expression of interest and the like. (Bastian Decl., ¶ 13.)

Based on the foregoing, the Rogerson Defendants provide that they are actively pursuing multiple avenues to satisfy the Loan, from which they expect to be able to fund at least one rent payment by June 20, 2026, demonstrating that other, less intrusive remedies are adequate and available.

The Bank contends that the proposals for refinancing, assets sales, or coordination with other creditors as alternatives to receiver are speculative, contingent on third-party approvals, and do not provide the immediate protection of rents and profits provided by the Loan Documents, but does not specify how the proposals are speculative, and fails to show that the more intrusive oversight of a receiver is a necessity because these other, less intrusive remedies are inadequate or unavailable.

Under the above circumstances, the appointment of a receiver would be a harsh and costly remedy that would not be appropriate at this time. Consequently, the Court **DENIES the OSC re: preliminary injunction and appointment of receiver.**

The Rogerson Defendants to give notice.